

Unit-2 Perspective in Management

1. Behavioural Approach

a) Hawthorn Theory (Elton Mayo)

i) Lighting

ii) Rest Room/Break room

iii) Interview

iv) Bank wiring

b) Psychological need theory/motivational Theory (Abraham Maslow)

triangle drawing

1st self actualization (internal satisfaction, research)

2nd Ego/esteem (Recognition, prestige)

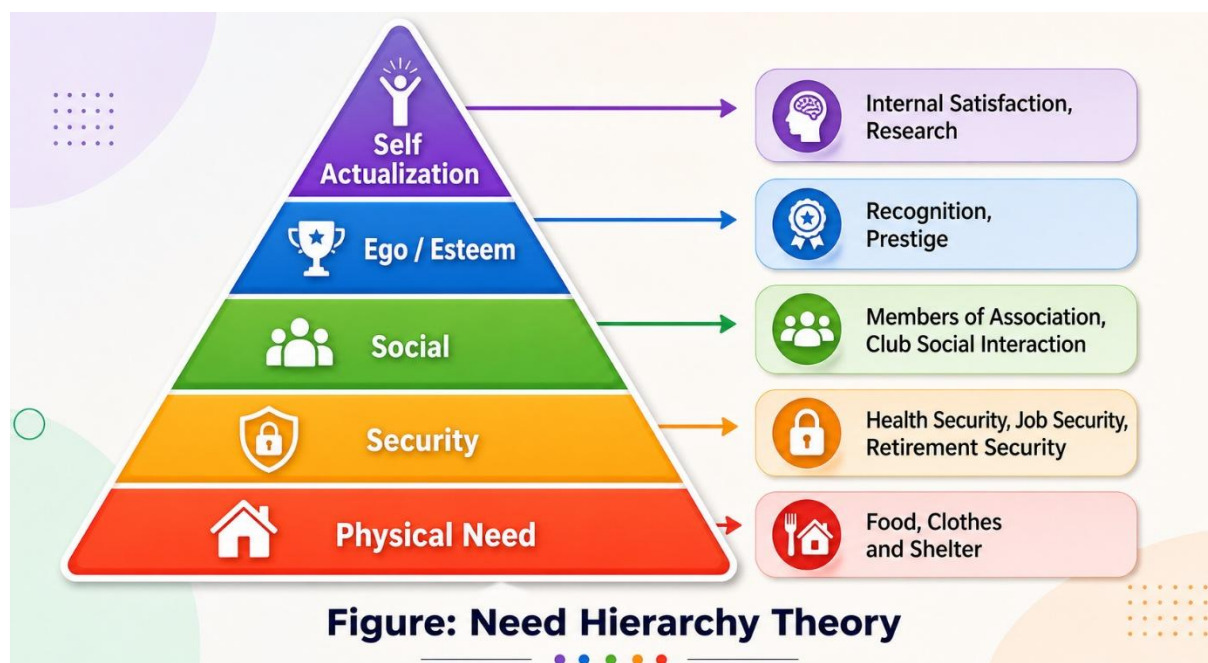
3rd Social (members of association, club social interaction)

4th Security (health security, job security, retirement security)

5th Physical Need (food, clothes and shelter)

Figure: Need Hierarchy Theory

This triangle image goes down from up



c) Herzberg's Hygiene Theory (Two-factor theory)

- Food, cloths, shelter (Money Matters)
- Health, Job security, retirement fund
- Social interaction, members of Clubs
- Job satisfaction
- Recognition
- Praise, reward
- Good working environment

McGraw X & Y Theory

X Theory

- People are lazy
- Strictly monitored, pressured and create fear and threat in order to receive job completion
- Money encourage them

Y Theory

- People are human assets of an organization
- They need to be treated better to receive better performance
- Motivated employees use their 100% skill and maximum utilize the resources with zero wastages

2. Integrated Approach

a) System Theory

b) Contingency Theory

- There is not a only one best way to perform
- Methods differs in different conditions

i) Size of organization

ii) Nature & Technology

iii) Geographical Coverage

Challenges

- i) Globalization
- ii) Technology
- iii) Workforce diversity
- iv) Change personal table/Preferences
- v) Resist to change
- vi) Flexible working hours
- vii) Virtual Setup

Unit–2: Perspective in Management

Management thought developed over time. Earlier, managers focused mostly on work, rules, and productivity. Later, they understood that **human behavior, motivation, and environment** also affect performance.

This unit mainly covers:

1. **Behavioural Approach**
2. **Integrated Approach**
3. **Modern Challenges in Management**

1. Behavioural Approach

The **Behavioural Approach** focuses on **human behavior in organizations**. It says that employees are not machines; they have **feelings, needs, attitudes, emotions, and social relationships**.

Therefore, to improve performance, managers must understand and manage people properly.

Main contributors in this approach are:

- **Elton Mayo – Hawthorne Studies**
 - **Abraham Maslow – Need Hierarchy Theory**
 - **Frederick Herzberg – Two-Factor Theory**
 - **Douglas McGregor – Theory X and Theory Y**
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a) Hawthorne Theory / Hawthorne Studies – Elton Mayo

The **Hawthorne Studies** were conducted at the **Western Electric Company, Hawthorne Plant, USA**.

These studies were done to find out what affects worker productivity.

Elton Mayo concluded that **social and psychological factors** play a very important role in employee performance.

The experiments are explained below:

i) Illumination Experiment (Lighting Study)

In this experiment, researchers changed the **lighting conditions** in the workplace to see whether productivity would increase or decrease.

Observation:

- Productivity increased even when lighting was improved.
- Surprisingly, productivity also increased when lighting was reduced.

Conclusion:

The increase in productivity was not mainly because of light. It happened because workers felt that **someone was paying attention to them**.

This is called the **Hawthorne Effect**:

People perform better when they know they are being observed and considered important.

Example:

If a manager starts regularly checking in with workers and asking for feedback, employees may work better simply because they feel noticed and valued.

ii) Rest Room / Break Room Experiment

In this study, a small group of workers was placed in a separate room. Researchers changed:

- working hours,
- rest breaks,
- lunch arrangements,
- wages and incentives.

Observation:

Productivity increased in most situations.

Conclusion:

The main reason for higher productivity was not only physical changes. Workers felt:

- special,
- important,
- closely connected as a team,
- free to share opinions.

Main Idea:

Supportive work environment, rest pauses, and friendly supervision improve morale and productivity.

Example:

If employees are given short tea breaks, flexible timing, and respectful treatment, they often become more energetic and productive.

iii) Interview Experiment

In this experiment, thousands of workers were interviewed to understand their feelings, problems, and attitudes toward the company.

Observation:

Workers were happy when they got the chance to express their views.

Conclusion:

Employees want more than just wages.
They also want:

- to be heard,
- respect,
- good communication,
- emotional support.

Main Idea:

Communication between management and employees is very important.

Example:

If a company conducts employee feedback sessions and actually listens to complaints, employee satisfaction improves.

iv) Bank Wiring Observation Room Experiment

In this experiment, a group of workers was studied while doing wiring jobs.

Observation:

Workers formed their own informal group rules.
They decided among themselves how much work should be done.
Even if someone could produce more, they often did not, because the group pressured them to follow the informal standard.

Conclusion:

Informal groups strongly influence employee behavior.

Main Idea:

Employees are affected not only by official rules, but also by group norms, friendships, and social pressure.

Example:

If one employee works too fast, other workers may tell him to slow down because they don't want management to increase targets.

Importance of Hawthorne Studies

The Hawthorne studies showed that:

- workers are **social beings**,
 - motivation is not only about money,
 - **group behavior** matters,
 - **attention, recognition, communication, and participation** improve performance.
-

b) Psychological Need Theory / Motivational Theory – Abraham Maslow

Abraham Maslow gave the **Need Hierarchy Theory**, which explains that human needs are arranged in levels.

A person first tries to satisfy lower-level needs, and then moves to higher-level needs.

This theory is usually shown as a **triangle (pyramid)**.

Maslow's Need Hierarchy (from bottom to top)

1. Physiological Needs

These are the most basic needs for survival.

Includes:

- food
- clothes
- shelter
- water
- rest

In organization:

Employees need enough salary to meet basic living needs.

Example:

A worker first needs wages to buy food and pay rent.

2. Safety / Security Needs

After basic needs are satisfied, people want security and protection.

Includes:

- job security
- health security
- retirement benefits
- safe working conditions

Example:

An employee wants a permanent job, medical benefits, and provident fund.

3. Social Needs

Humans want love, friendship, belongingness, and social interaction.

Includes:

- friendship at work
- teamwork
- membership in clubs or associations
- good relations with co-workers

Example:

An employee feels motivated when he is accepted by his team and enjoys friendly interaction in the office.

4. Esteem / Ego Needs

These are the needs for self-respect and respect from others.

Includes:

- recognition
- status
- prestige
- promotion
- appreciation

Example:

When an employee receives “Best Employee Award,” he feels valued and respected.

5. Self-Actualization Needs

This is the highest level of need.

It means becoming the best version of oneself and using full potential.

Includes:

- creativity
- innovation
- research
- personal growth
- internal satisfaction

Example:

A scientist doing research, or a manager creating new ideas, may feel self-actualized.

Diagram Order

Since you mentioned the triangle goes **down from up**, the correct order is:

Top

1. Self-actualization
 2. Esteem / Ego
 3. Social
 4. Safety / Security
 5. Physiological
- Bottom**
-

Main Idea of Maslow's Theory

- Human needs are unlimited.

- Lower needs must be satisfied first.
- Once one need is satisfied, another higher need becomes important.
- Managers should understand employee needs and motivate them accordingly.

Example in office:

- low salary → physiological concern
- fear of job loss → security concern
- lonely employee → social concern
- wants promotion → esteem concern
- wants creative freedom → self-actualization concern

c) Herzberg's Hygiene Theory (Two-Factor Theory)

Frederick Herzberg developed the **Two-Factor Theory of Motivation**. He said there are **two sets of factors** that affect employees:

1. **Hygiene Factors**
2. **Motivators**

These are called “two factors” because one set prevents dissatisfaction, while the other creates satisfaction.

1. Hygiene Factors

These factors do **not strongly motivate** employees, but their absence causes dissatisfaction.

Examples:

- salary / money

- food, clothes, shelter support through income
- job security
- retirement fund
- health benefits
- company policy
- supervision
- working conditions
- good working environment
- relationship with others

Important Point:

If hygiene factors are poor, employees become unhappy.

If hygiene factors are good, employees may not become highly motivated, but they will not be dissatisfied.

Example:

A clean office, fair salary, and safe environment stop complaints, but they alone may not make employees love the job.

2. Motivators

These factors actually create **job satisfaction** and higher motivation.

Examples:

- achievement
- recognition
- praise
- reward
- responsibility
- promotion
- meaningful work
- job satisfaction

Important Point:

Motivators help employees perform better and feel proud of their work.

Example:

If an employee is given praise for good performance and more responsibility, he feels motivated and satisfied.

Main Difference

Hygiene factors:

Prevent dissatisfaction.

Motivators:

Create satisfaction.

Simple Example

Suppose a company gives:

- fair salary,
- safe office,
- job security.

Employees may not complain. These are **hygiene factors**.

Now if the company also gives:

- recognition,
- promotion,
- appreciation,
- meaningful work,

employees become truly motivated. These are **motivators**.

Importance of Herzberg's Theory

Managers should not think that **money alone** motivates employees.
Money and security are important, but for real satisfaction, employees also need:

- recognition,
- growth,
- achievement,
- responsibility.

d) McGregor's Theory X and Theory Y

Douglas McGregor gave two different views about employees:

- **Theory X**
- **Theory Y**

These are not two types of employees, but two types of managerial assumptions.

Theory X

Theory X assumes that employees are naturally lazy and dislike work.

Main assumptions:

- People do not like to work.
- They avoid responsibility.
- They must be strictly supervised.

- They need pressure, fear, or threat to complete work.
- Money is the main motivation.

Management style under Theory X:

- strict control
- close monitoring
- punishment-based supervision
- little trust in employees

Example:

A factory supervisor who constantly watches workers, gives orders, and uses fear to get work done is following Theory X.

Theory Y

Theory Y assumes that employees are responsible and can enjoy work.

Main assumptions:

- People can work willingly.
- Employees are valuable human assets.
- They should be treated properly.
- They can take responsibility.
- They can be creative and solve problems.
- Motivated employees use their full skills.
- Proper treatment leads to better performance and less wastage.

Management style under Theory Y:

- trust
- participation
- delegation
- encouragement
- support and development

Example:

A manager who allows employees to share ideas, make decisions, and take ownership of tasks is following Theory Y.

Difference between Theory X and Theory Y

Theory X	Theory Y
Employees are lazy	Employees can be hardworking
Need strict monitoring	Need support and trust
Avoid responsibility	Accept responsibility
Motivation through fear and money	Motivation through recognition, growth, and participation
Authoritarian style	Democratic style

Conclusion of McGregor's Theory

McGregor suggested that managers should move more toward **Theory Y**, because people perform better when they are trusted, respected, and motivated.

2. Integrated Approach

The integrated approach combines different management ideas and says that management should not depend on one single theory only. It studies the organization as a whole and also considers the environment.

Main types:

- **System Theory**
 - **Contingency Theory**
-

a) System Theory

System Theory says that an organization is a **system made up of many interrelated parts**.

All departments work together to achieve common goals.

Example of parts:

- production
- finance
- marketing
- human resource
- sales

If one part is weak, the whole organization is affected.

Main Idea:

An organization takes **inputs**, processes them, and gives **outputs**.

Input:

- raw materials
- money

- employees
- information

Process:

- production
- planning
- organizing
- decision-making

Output:

- goods
- services
- profit
- customer satisfaction

Feedback:

The organization gets feedback from customers and environment, and then improves itself.

Example:

If the marketing department gets customer complaints, production may improve the product. This shows departments are connected.

Importance:

- helps managers see the whole organization,
- improves coordination,
- encourages teamwork,
- shows interdependence of departments.

b) Contingency Theory

Contingency Theory says:

There is no one best way to manage.
The best method depends on the situation.

Different situations require different management styles and decisions.

Main Idea:

Management methods differ according to conditions.

Factors affecting management style:

i) Size of organization

A small business can be managed informally, but a large company needs more structure and rules.

ii) Nature and technology

A software company may use flexible management, while a manufacturing company may need stricter control.

iii) Geographical coverage

A local business is easier to manage centrally, but a company working in many countries may need decentralized management.

Example of Contingency Theory

- During a crisis, a manager may need to take quick and strict decisions.
- In a creative team, the manager may use freedom and participation.

Both are correct in different situations.

Importance:

- flexible approach,
 - practical and realistic,
 - suitable for changing environment,
 - helps managers choose the right method at the right time.
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3. Challenges in Management

Modern managers face many challenges because the business environment changes rapidly.

Some important challenges are:

i) Globalization

Globalization means business activities are spreading across countries. Companies now buy, sell, hire, and compete at the international level.

Challenges:

- competition from global companies
- dealing with different cultures
- managing international employees
- understanding foreign laws and markets

Example:

A company in Bangladesh exporting products to Europe must meet international quality standards.

ii) Technology

Technology is changing management and business operations very fast.

Challenges:

- need for updated systems
- employee training
- automation replacing old jobs
- cybersecurity issues
- digital communication management

Example:

A company shifting from manual records to computer software must train employees to use the system.

iii) Workforce Diversity

Today's workforce includes people from different:

- ages,
- genders,
- cultures,
- religions,
- educational backgrounds,
- experiences.

Challenges:

- communication differences
- cultural misunderstanding
- different expectations
- managing equality and inclusion

Example:

A manager must ensure that all employees are treated fairly, regardless of background.

iv) Change in Personal Tastes / Preferences

Customers' needs and employees' preferences keep changing.

Challenges:

- changing market demand

- changing work expectations
- need for innovation
- personalized products and services

Example:

Customers may shift from offline shopping to online shopping, so businesses must adapt.

v) Resistance to Change

Employees often resist change because they fear:

- losing jobs,
- learning new systems,
- uncertainty,
- increased workload.

Challenges:

- slow adaptation
- conflict
- lower morale
- reduced productivity during change

Example:

When a company introduces new software, some workers may oppose it because they are used to the old system.

Solution:

Managers should explain the benefits, give training, and involve employees in the change process.

vi) Flexible Working Hours

Many organizations now allow flexible work schedules.

Benefits:

- better work-life balance
- increased employee satisfaction

Challenges:

- difficult supervision
- coordination problems
- uneven availability
- performance measurement issues

Example:

If employees choose different office times, managers must ensure teamwork and deadlines are still maintained.

vii) Virtual Setup

Virtual setup means employees work from home or from different places using the internet and digital tools.

Challenges:

- communication gap
- lack of face-to-face interaction
- reduced team bonding
- monitoring performance
- internet and technology issues

Example:

A company using Zoom, Google Meet, and email for daily work must ensure strong communication and accountability.

Short Conclusion

Management is not only about planning and controlling work. It is also about understanding people, situations, and the environment.

- **Behavioural Approach** focuses on human needs, motivation, and group behavior.
- **Integrated Approach** sees the organization as a whole and says management depends on the situation.
- **Modern Challenges** require managers to be flexible, skilled, and adaptive.

A good manager should:

- understand employees,
- motivate them,
- choose the right management style,
- and adjust according to changing conditions.

Presentation: Unit–2 Perspective in Management

Slide 1: Title Slide

Unit–2: Perspective in Management

Topics:

- Behavioural Approach
 - Integrated Approach
 - Challenges in Management
-

Slide 2: Introduction

Perspective in Management explains how management thinking has changed over time.

Main focus:

- Understanding employee behavior
 - Motivation and satisfaction
 - Adapting management according to situation
 - Facing modern business challenges
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Part 1: Behavioural Approach

Slide 3: Behavioural Approach

Meaning:

Behavioural Approach focuses on the **human side of management**.

Main idea:

- Employees are not machines
- Their feelings, needs, and attitudes affect performance
- Good treatment improves productivity

Key contributors:

- Elton Mayo
- Abraham Maslow
- Frederick Herzberg
- Douglas McGregor

Slide 4: Hawthorne Theory – Elton Mayo

Hawthorne Studies:

Conducted to find out what affects worker productivity.

Main conclusion:

Social and psychological factors are more important than physical conditions alone.

Importance:

- Employees perform better when they feel noticed
- Informal groups affect behavior
- Communication and morale are important

Slide 5: Hawthorne Studies – Main Experiments

1. Illumination Experiment

- Changed lighting conditions
- Productivity increased in both cases
- **Conclusion:** Attention improves performance

2. Rest Room / Break Room Experiment

- Added rest breaks and better conditions
- Productivity increased
- **Conclusion:** Friendly environment and rest improve work

Slide 6: Hawthorne Studies – More Experiments

3. Interview Experiment

- Workers were asked about feelings and problems
- **Conclusion:** Employees want to be heard

4. Bank Wiring Experiment

- Workers created informal group rules
- **Conclusion:** Group pressure affects productivity

Overall lesson:

Human relations matter in management

Slide 7: Maslow's Need Hierarchy Theory

Main idea:

Human needs are arranged in levels.
Lower needs must be satisfied before higher needs.

Hierarchy of Needs:

1. Physiological Needs
 2. Safety Needs
 3. Social Needs
 4. Esteem Needs
 5. Self-Actualization
-

Slide 8: Maslow's Triangle

From Bottom to Top:

5. Physiological Needs

- Food, clothes, shelter

4. Safety Needs

- Job security, health security, retirement benefits

3. Social Needs

- Friendship, social interaction, club membership

2. Esteem Needs

- Recognition, prestige, respect

1. Self-Actualization

- Internal satisfaction, creativity, research, growth

Note: *The triangle starts from the bottom and goes upward.*

Slide 9: Herzberg's Two-Factor Theory

Main idea:

There are **two factors** affecting employee motivation:

1. Hygiene Factors

- Salary / money
- Job security
- Health benefits
- Working conditions
- Good environment

2. Motivators

- Recognition
 - Praise
 - Reward
 - Job satisfaction
 - Achievement
-

Slide 10: Herzberg Theory – Important Point

Hygiene Factors:

- Prevent dissatisfaction
- But do not strongly motivate

Motivators:

- Create satisfaction
- Increase performance

Conclusion:

Money matters, but recognition and achievement motivate more

Slide 11: McGregor's Theory X and Theory Y

Theory X:

- People are lazy
- Need strict control
- Fear and pressure are used
- Money is the main motivation

Theory Y:

- People are valuable assets
 - They should be treated well
 - They can take responsibility
 - Motivated workers use full potential
-

Slide 12: Theory X vs Theory Y

Theory X	Theory Y
Employees dislike work	Employees can enjoy work
Need close supervision	Need trust and support
Avoid responsibility	Accept responsibility

Theory X	Theory Y
Motivated by money/fear	Motivated by growth/recognition

Best approach:

Theory Y is more positive and modern

Part 2: Integrated Approach

Slide 13: Integrated Approach

Meaning:

This approach combines different management ideas.

Main types:

- System Theory
- Contingency Theory

Main idea:

No single theory is enough for all situations.

Slide 14: System Theory

Main idea:

An organization is a **system of interrelated parts**.

Parts include:

- Production
- Marketing
- Finance
- Human Resource

Process:

Input → Process → Output → Feedback

Importance:

- All departments are connected
 - One department affects another
-

Slide 15: Contingency Theory

Main idea:

There is no one best way to manage

Management depends on:

- Situation
- Environment
- Nature of work

Important factors:

1. Size of organization
2. Nature and technology
3. Geographical coverage

Slide 16: Contingency Theory – Key Point

Conclusion:

Different situations require different management methods.

Example:

- Large company → more structure
- Small company → more flexibility
- Crisis → quick decision-making
- Creative work → freedom and participation

Part 3: Challenges in Management

Slide 17: Challenges in Management

Modern managers face many challenges because of changing business conditions.

Main challenges:

- Globalization
- Technology
- Workforce diversity
- Changing preferences
- Resistance to change
- Flexible working hours
- Virtual setup

Slide 18: Globalization and Technology

Globalization:

- International competition
- Different cultures and markets
- Global business opportunities

Technology:

- Rapid technological change
 - Need for training
 - Automation and digital systems
 - Cybersecurity issues
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Slide 19: Workforce Diversity and Changing Preferences

Workforce Diversity:

- Employees from different backgrounds
- Need for equality and inclusion
- Communication and cultural challenges

Changing Preferences:

- Customer tastes change quickly
 - Employees also expect flexibility and better work conditions
-

Slide 20: Resistance to Change

Meaning:

Employees may oppose change due to fear or uncertainty.

Reasons:

- Fear of job loss
- Fear of new technology
- Lack of training
- Comfort with old methods

Solution:

- Communication
 - Participation
 - Training
 - Support
-

Slide 21: Flexible Working Hours & Virtual Setup

Flexible Working Hours:

- Better work-life balance
- But difficult to coordinate and monitor

Virtual Setup:

- Work from home / online work
 - Saves time and cost
 - But creates communication and supervision problems
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Slide 22: Conclusion

Final Summary:

- Behavioural Approach focuses on people and motivation
- Integrated Approach focuses on systems and situations
- Modern management must adapt to changing challenges

Key message:

A successful manager understands people, situation, and environment

Slide 23: Thank You

Thank You

Any Questions?